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Microsoft Licensing: Fundamentals

An overview of program and product licensing

WHAT IS A LICENSE?

- Software is intellectual property and licenses provide the right to use the software and define conditions of use
- End user rights are covered by the Retail Software License Terms for FPP, the Microsoft Software License Terms for OEM, or for VL the Product Use Rights: www.microsoftvolumelicensing.com/userights/PUR.aspx

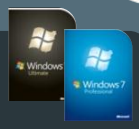
SOFTWARE ASSURANCE

Software Assurance (SA) is included in many Microsoft Licensing Programs, and is an optional extra purchase in others. SA contains a range of benefits which provide technology, services and support to manage the software lifecycle. Examples include:

- New version rights
- Spread payments
- Windows 7 Enterprise
- E-Learning
- Training vouchers
- Packaged Services
- TechNet subscription
- 24x7 Problem Resolution Support

WAYS TO BUY A LICENSE

FULL PACKAGED PRODUCT (FPP)



- Purchased from retailers
- Typically 1 box = 1 license

OEM

- Preinstalled on a new computer
- The software "lives and dies" on that machine

ONLINE SERVICES

- Technology is "hosted" on Microsoft's or a hosting partner's servers
- An alternative to "on-premise" solutions

For a hosted solution, the customer typically pays an all-inclusive subscription to allow them to connect to the hosted server and details are covered in separate documents in this series

VOLUME LICENSING

- Purchased from resellers
- Different programs to suit all kinds of organizations needing more than 5 licenses

MICROSOFT LICENSING PROGRAMS

When recommending the right program for a customer, the following factors need to be considered: the size of the organization, whether they want perpetual or non-perpetual licenses, whether they want Software Assurance or not, and whether they want to standardize the software on all PCs in their organization or not.

	5 - 250 PCs	More than 250 PCs
Perpetual	Open — SA optional	Select — SA optional
Perpetual	Open Value Non-Company Wide — SA included	Select Plus — SA optional
Perpetual	Open Value Company Wide — SA included, All PCs	Enterprise Agreement — SA included, All PCs
Non-Perpetual	Open Value Subscription — SA included, All PCs	Enterprise Subscription Agreement — SA included, All PCs

Program can be sold by any reseller | Program can be sold by LARs only

All PCs — All PCs in the organization must be included in these agreements

SA — Software Assurance (SA) is either included in the agreement or an optional extra purchase

SOFTWARE ASSET MANAGEMENT

Software licenses, however purchased, are an organization's software assets. The management of these is called Software Asset Management (SAM).

Good SAM practices can:

- help companies not to overspend on licenses
- help avoid fines and corrective license fees
- help to reduce the installation of illegal or infected software

Tools such as Microsoft System Center Configuration Manager can help identify what is deployed, whilst purchasing licenses through a Volume Licensing agreement provides a single place to manage software licenses through the VLSC (Volume Licensing Service Center).

PERPETUAL vs NON-PERPETUAL LICENSES

With a **perpetual** license the customer owns the license and can use the software throughout the term of the licensing agreement and forever afterwards. With a **non-perpetual** license, like a rental agreement, the customer can only use the software throughout the term of the licensing agreement.

Server License and CALs

Purchase a Server license for each server, and Client Access Licenses (CALs) for either users or devices:

*A **Device CAL** is assigned to the device and allows multiple users to use that device*

*A **User CAL** is assigned to the user and allows that user to use multiple devices*

Note that **External Users** can be licensed via this model by purchasing CALs for them. Examples of products to which this model applies include Microsoft® Windows Server® 2008 R2 and Microsoft® Exchange Server 2010.

Standard and Enterprise CALs

Some server products offer different levels of functionality that can be exposed to users or devices, and there are CALs that correspond to this functionality. The core functionality offered by the server (depicted by the blue shading) is linked to a Standard CAL (depicted by the blue license).

If the extended functionality (depicted by the red shading), is utilized, then the purchase of an Enterprise CAL is required (depicted by the red license) ***in addition to*** the Standard CAL.

Standard and Enterprise CALs can also be used to license External Users.
Products to which this model applies include Microsoft® SharePoint® Server 2010 and Exchange Server 2010. For Microsoft® Office Communications Server 2007 R2, Standard and Enterprise External Connector Licenses are also available.

External Connector Licensing

License the server which the external users will access in the usual way, and then purchase an additional External Connector license to license all external users and devices.

Products to which this model applies include Windows Server 2008 R2 and Exchange Server 2010.

Per Processor Licensing

Purchase a license for each processor used by the product in the physical servers. These licenses entitle ALL internal and external devices and users to connect to the server and so there is no requirement for CALs.

Products to which this model applies include Microsoft® SQL Server® 2008 R2 and Microsoft® BizTalk® Server 2009.

Management Licensing

Purchase a server license for the Management Server. Managed client devices require Client Management Licenses, and managed servers require either a Standard Server Management License (ML) if running basic workloads or an Enterprise Server Management License if running application workloads.

CAL SUITES

It can be advantageous for customers to buy their CALs in suites. The two CAL suites are Core CAL Suite and Enterprise CAL Suite, and contain the following CALs:

Microsoft® Core CAL Suite

Client Access License

- Windows Server CAL
- Exchange Server Standard CAL
- SharePoint Server Standard CAL
- Microsoft® System Center Configuration Manager Client Management License (CML)

Microsoft® Enterprise CAL Suite

Client Access License

Everything in Core CAL Suite, plus:

- Exchange Server Enterprise CAL
- SharePoint Server Enterprise CAL
- Office Communications Server Standard and Enterprise CALs
- Windows® Rights Management Services CAL
- System Center Operations Manager CML
- System Center Data Protection Manager CML
- System Center Service Manager CML
- Forefront™ Protection Suite SL
- Forefront Unified Access Gateway CAL

- Refer to the **Microsoft Product List** to see which products are available through which Microsoft Volume Licensing programs: http://www.microsoftvolumelicensing.com/userights/PL.aspx
- Refer to the **Product Use Rights** (PUR) document for information about the use rights for products currently offered under Microsoft Volume Licensing programs: http://www.microsoftvolumelicensing.com/userights/PUR.aspx
- Licensing information on the Microsoft Partner Network: https://partner.microsoft.com/global/licensing

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